

RAMASWAMI
SUBRAMANIAN

42, RETAILER
MD. SUBHIKSHA
CURRENT TURNOVER Rs 2,300 crore
NUMBER OF STORES 1,580

MERCHANT OF SMALL THINGS

SUCCESS MANTRA

No-frills shopping.
Cut overheads to give
clients a cost advantage.

biggest OBSTACLE

Winning over customers.
Low prices had led to
scepticism about quality.

next STEP

He is now planning
stand-alone outlets for
consumer durables

His company's turnover is Rs 2,300 crore but Ramaswami Subramanian, MD, Subhiksha Trading Services, is like the 1,580 stores he has all over India. No frills, no fuss. Only business. His stores have no air-conditioning, no glossy lighting and no packaging intended to convince the consumer. Tucked away in tiny streets, they are just a step ahead of Tamil Nadu's *annachi* stores run by the Nadars. But whether it is groceries, medicines or mobiles, this is where the cost-conscious family likes to shop.

Subramanian's instinct has seldom let him down—except on the mobile retail. Whether it was quitting his CitiBank job within 15 days of joining in 1989 because it wasn't challenging enough, working with the trouble-plagued Royal Enfield, or even launching Vishwapriya Financial Services, he has always seen an opportunity where others have seen a crisis. Even at college, his criterion for choosing courses wasn't whether they would help boost his grades, but whether they could add value. The IIT-Madras and IIM-Ahmedabad graduate always dreamt big, entering organised retail in 1997 and moving beyond Tamil Nadu in 2005. It was all part of a plan. "In the mid-'90s, we made a study of two areas: software and retail. Between software and retail, we thought we were a bit late for software. In retail, we would have the learning curve much to our advantage," says Subramanian, whose little daughter Sumukhi has to wait for her workaholic father till nine every night. He likes to work at a high speed and acknowledges that even as a child, his mother had a tough time controlling his hyperactivity.

Some snipers consider Subhiksha stores to be overrated while others have long predicted that he will sell out. But not only has he been able to sustain his busi-



HK RAJASHEKAR

ness through difficult times, but also today nobody can write his company off.

But his business model had to accept defeat in the mobile segment because of the heavy investment required. Now Subramanian, who can proudly say he runs the nation's largest retail chain, intends to put his proposed Rs 1,000-crore expansion on hold till rentals go down and also make a strategic retreat from fruit and vegetable retail after complaints of quick perishability. The retail chain's market share is still at 10 per cent, which Subramanian achieved within 15 months of its launch, but that hasn't stopped him from planning stand-alone outlets for consumer durables.

by S. Senthil Kumar

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